

India Metals

EQUITY: METALS & MINING

Update on China coking coal disruptions

China coking coal supply resumes, but recovery remains uneven; seaborne prices stable for now

Mine restarts underway, but supply normalization remains gradual, reinforcing our regulatory-risk thesis

Following the fatal Shanxi mine accident in late May-26 ([link](#)), several suspended coking coal mines have gradually resumed operations. According to a Mysteel survey ([link](#)), **77 mines had restarted by 11 June 2026**, representing around 56% of the suspended 137 mines in Shanxi since 23 May 2026 ([Fig. 9](#)). However, the recovery remains uneven, with some mines reportedly suspending operations again after only a few days of resumption amid **intensified safety inspections**. Notably, authorities have expanded inspections across major mining regions, particularly targeting illegal and hidden mining tunnels ([link](#)).

China domestic coking coal prices continue to reflect supply concerns

Despite resumption of some mining activity, domestic prices reflect uncertainties around coal availability. China's spot **domestic coking coal price has climbed to USD270/t, up more than 10%** since the incident ([Fig. 8](#)), suggesting the market is pricing in a broader tightening in domestic steelmaking raw material availability rather than an isolated operational event.

Australian exports to China rise as buyers seek seaborne supply

Recent developments strengthen our view that prolonged safety-led disruptions in China could gradually shift demand towards seaborne coking coal markets. **Australia's coking coal exports to China surged 114% m-m (+77% y-y) to 1.48MT** in May-26, with Australia's **share of exports to China rising to ~11% in May-26** from ~7% in both May-25 and Apr-26, although it remains a relatively small contributor to China's overall coking coal requirements ([link](#)).

While we believe China can offset part of the disrupted supply via inland imports, primarily Mongolia/Russia ([Fig. 4](#)), logistics constraints and quality differences might limit full substitution. Consequently, **if inspections persist, mine resumptions are delayed** and domestic supply recovery remains uneven, China may increasingly rely on Australia's seaborne supplies potentially pressuring global coking coal prices, in our view. However, **Australian spot premium hard coking coal prices** have largely remained stable and **increased marginally by around 1.5% to USD244/t** so far since the incident.

Indian steelmakers' margins largely shielded as China's coal supply recovers

For Indian steelmakers, the primary transmission mechanism is imported coking coal costs. As a directional sensitivity, we calculate that every USD10/t increase in coking coal can create ~USD7-9/t EBITDA impact for integrated steelmakers, depending on inventory cover and coal blend assumptions. **Within our coverage, we believe JSW Steel and Tata Steel India would be the most exposed ([Fig. 5](#)), with partial impact on Jindal Steel** depending on the procurement mix. However, the gradual resumption of coking coal supply in China is likely to keep seaborne coking coal prices relatively stable and therefore, may not be incrementally negative for near-term margin expectations of Indian steel players, in our view ([Fig. 11](#)).

We maintain our Buy recommendations on Tata Steel (TATA IN), JSW Steel (JSTL IN), Jindal Steel (JINDALST IN) and Lloyds Metals (LLOYDSME IN).

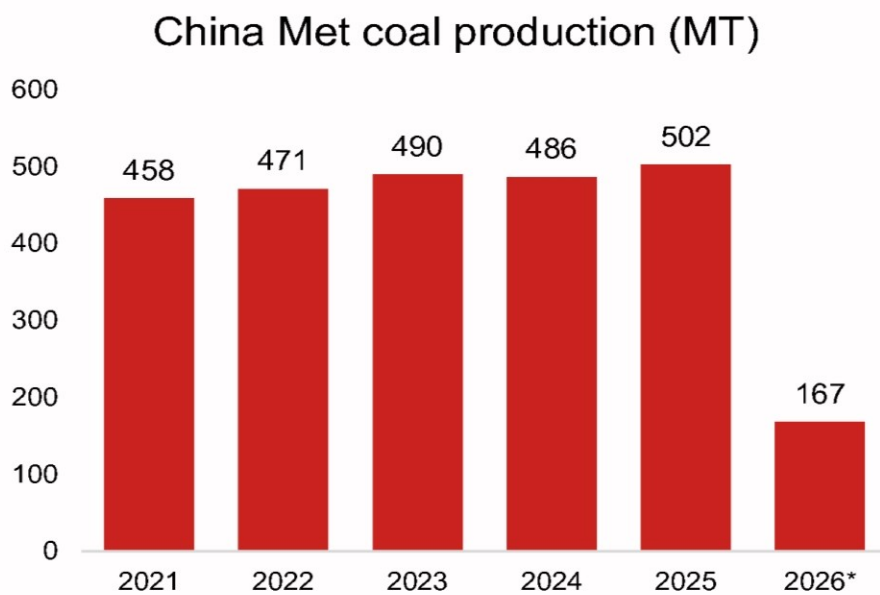
Research Analysts

India Metals & Mining

Jashandeep Singh Chadha - NFASL

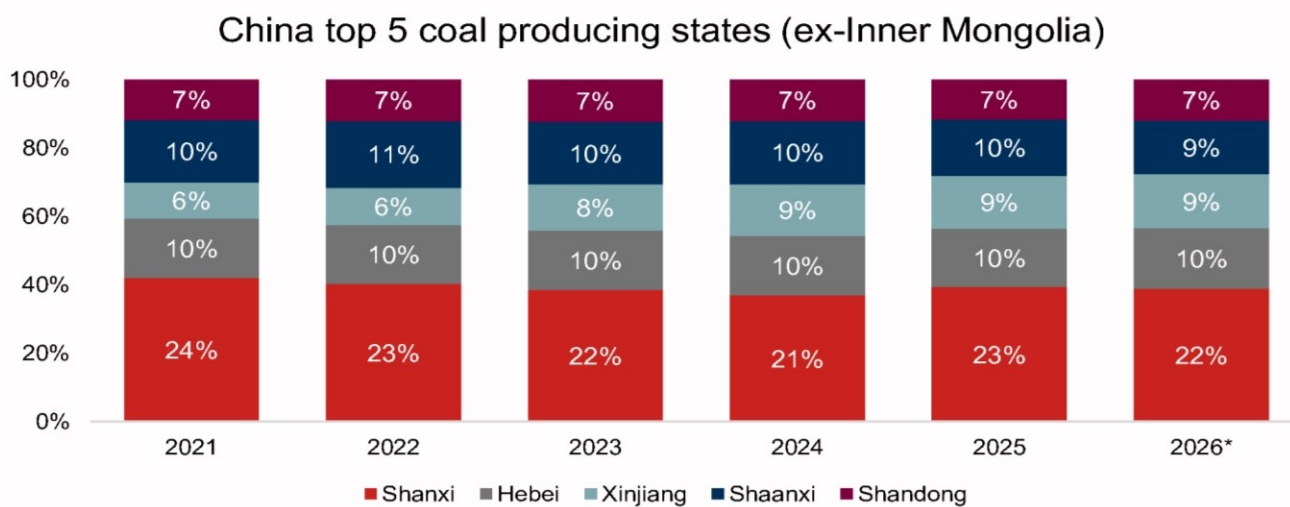
jashandeep.singhchadha@nomura.com

+91 22 40374124

Fig. 1: China's coal production run-rate suggests ~500MT of coal production in CY26F

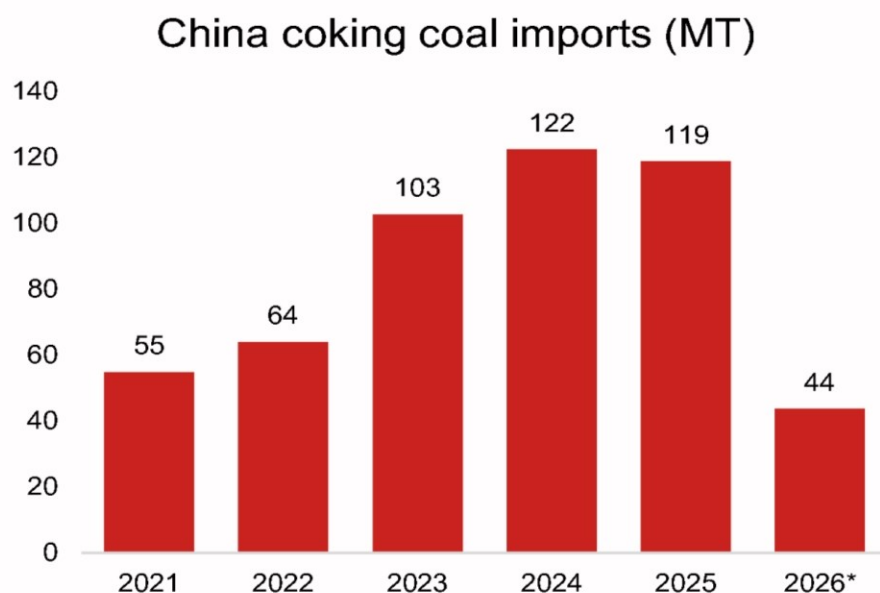
Note: *till April 2026

Source: Bigmint, Nomura research

Fig. 2: Shanxi is the biggest coal producing province in China; it accounts for ~25% of total coal and >20% of met coal

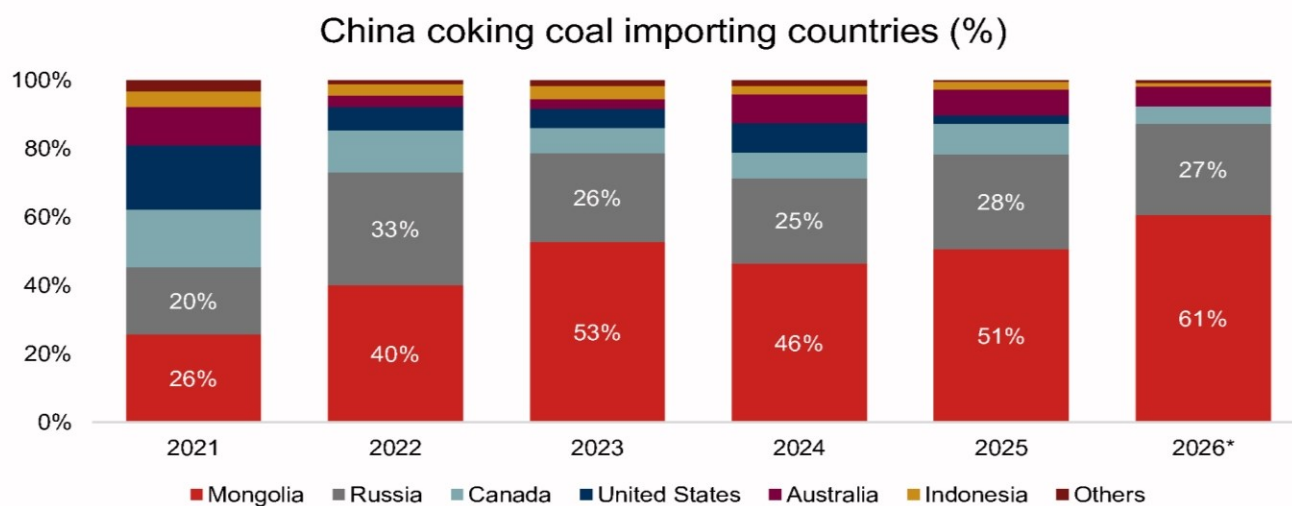
Note: *till April 2026

Source: Bigmint, Nomura research

Fig. 3: China accounts for ~20-25% of global seaborne coking coal trade, in our view

Note: *till April 2026

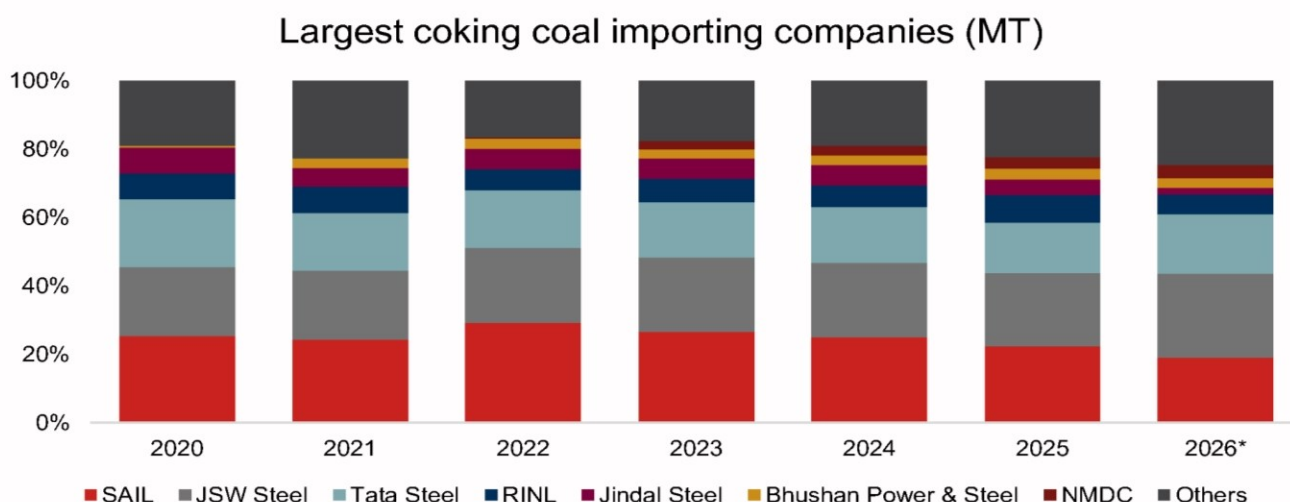
Source: Bigmint, Nomura research

Fig. 4: Mongolia should be China's first mitigation lever in case of supply shortfall

Note: *till April 2026

Source: Bigmint, Nomura research

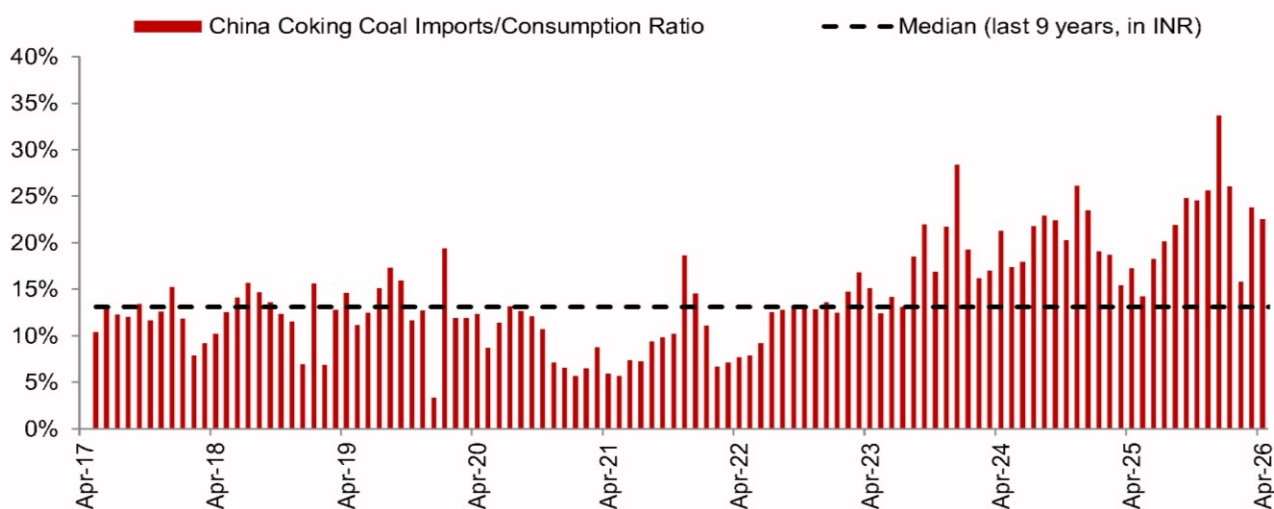
Fig. 5: JSW Steel has the highest exposure to imported coking coal among our coverage, followed by Tata Steel; Jindal Steel appears better placed



Note: *till April 2026

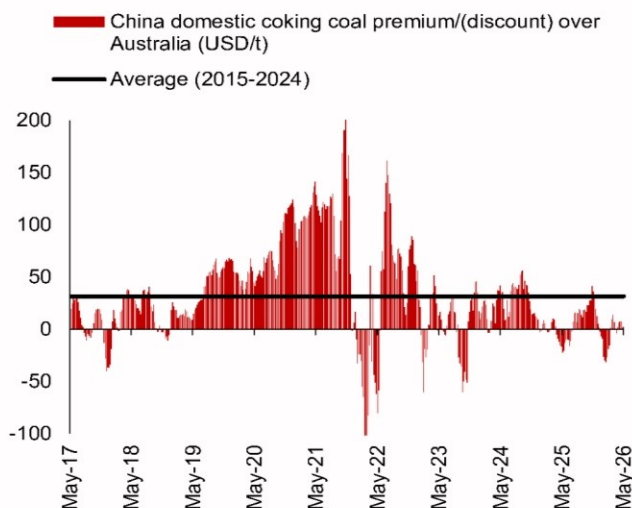
Source: Bigmint, Nomura research

Fig. 6: China's coking coal imports have increased significantly as a % of consumption; any domestic supply gap can lead to increased global prices



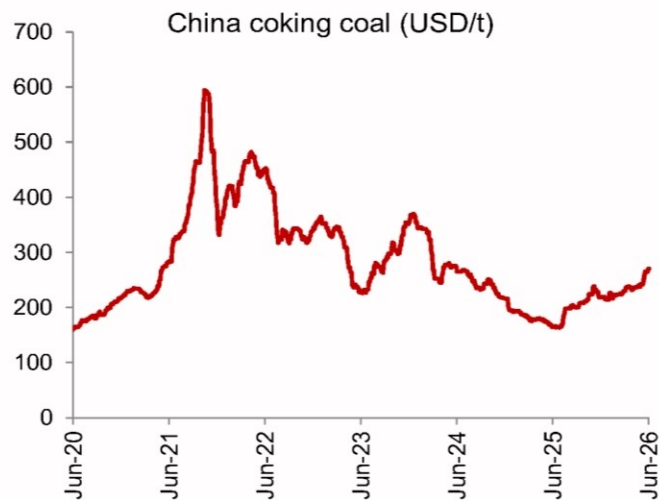
Source: Bloomberg Finance L.P., Nomura research

Fig. 7: Gap between Australian and Chinese coking coal has narrowed due to the pick up in the latter's prices



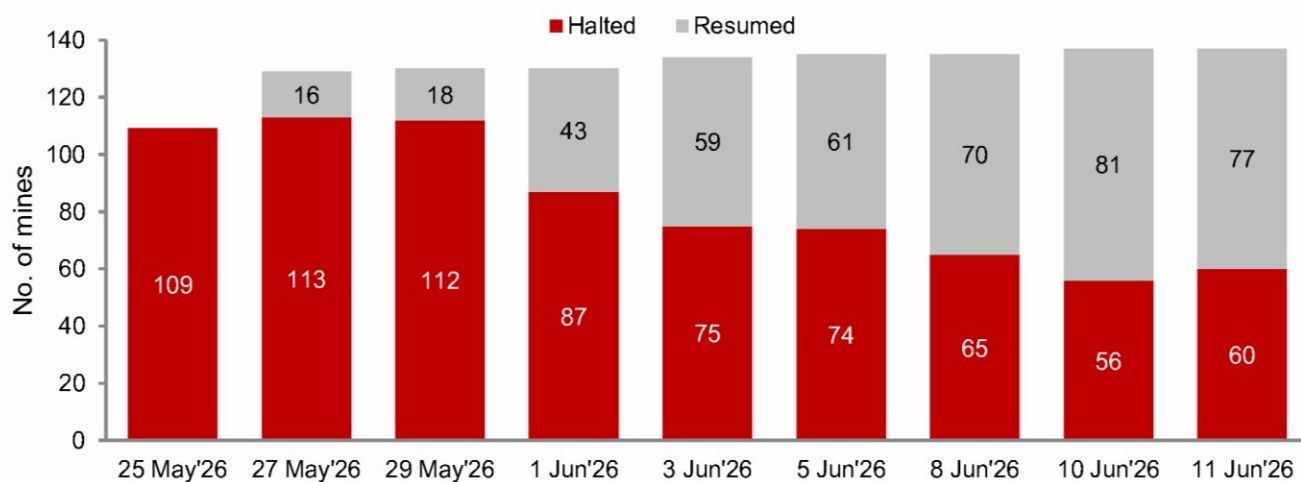
Source: Bloomberg Finance L.P., Nomura research

Fig. 8: China's domestic coking coal spot prices are trading over 10% higher since the incident



Source: Bloomberg Finance L.P., Nomura research

Fig. 9: Number of coking coal mines halted and resumed at Shanxi



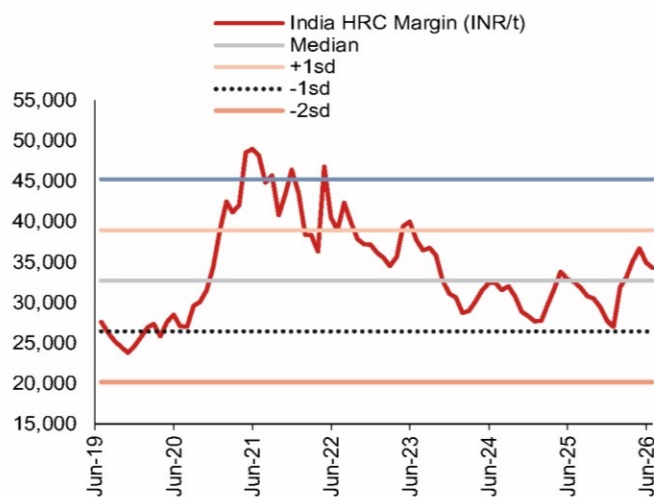
Source: BigMint, Mysteel Global, Nomura research

Fig. 10: China's export HRC margins levels have recovered recently due to higher realization but remain below median levels



Note: Margins calculated using Australia iron ore and China domestic coking coal prices
Source: Bloomberg Finance L.P., Nomura research

Fig. 11: India steelmakers' margins have moderated recently as HRC prices ease, but remain at healthy levels



Note: Margins calculated using domestic iron ore and Australia coking coal prices
Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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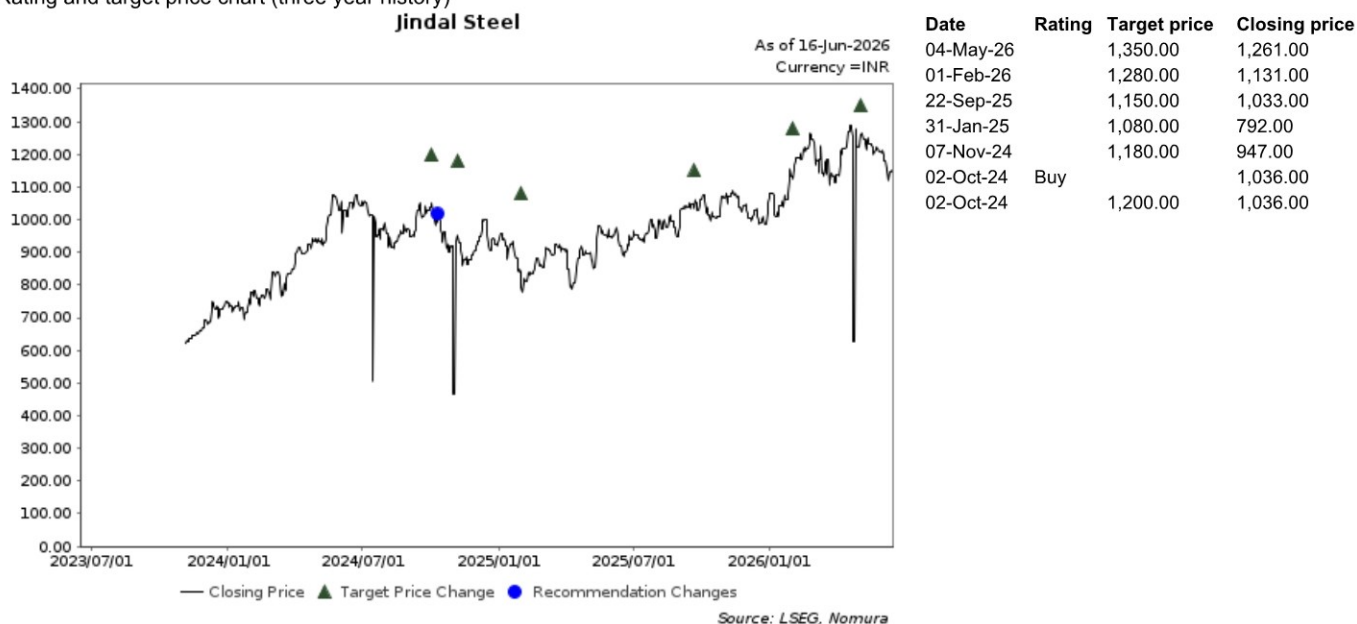
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Jindal Steel	JINDALST IN	INR 1,140	16-Jun-2026	Buy	N/A	
JSW Steel	JSTL IN	INR 1,274	16-Jun-2026	Buy	N/A	
Lloyds Metals and Energy	LLOYDSME IN	INR 1,765	16-Jun-2026	Buy	N/A	
Tata Steel	TATA IN	INR 196	16-Jun-2026	Buy	N/A	

Jindal Steel (JINDALST IN)

INR 1,140 (16-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

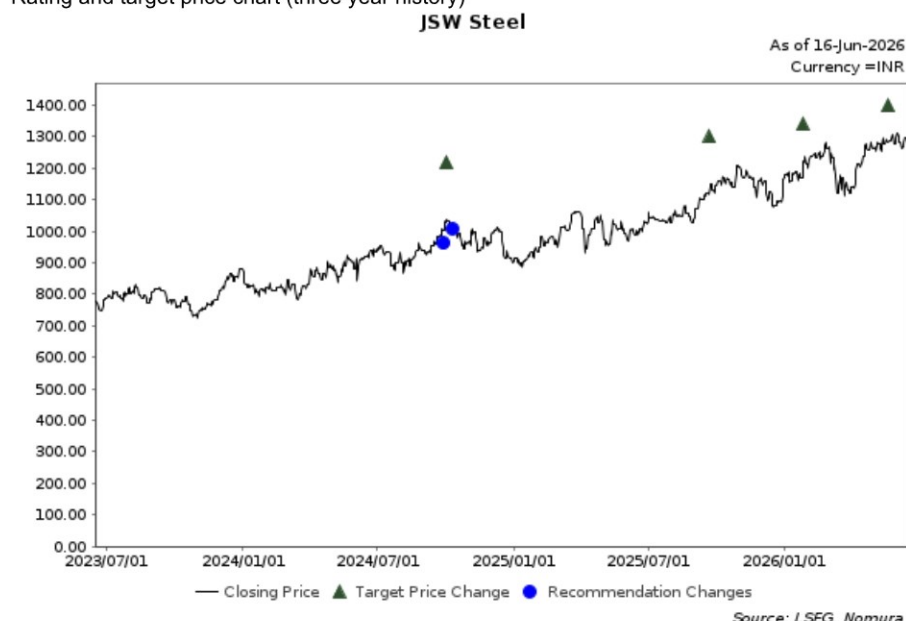
Valuation Methodology We arrive at TP of Rs1,350 by applying slightly higher than mid-cycle one-year-forward EV/EBITDA of 8.0x on new steady-state EBITDA in June-28F. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in expansion & cost overruns - This would result in lower than expected volume from FY26F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependance on exports. In such a case, the margins will be lower than expected

JSW Steel (JSTL IN)

INR 1,274 (16-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
21-May-26		1,400.00	1,281.00
26-Jan-26		1,340.00	1,170.00
22-Sep-25		1,300.00	1,117.00
02-Oct-24	Buy		1,027.00
02-Oct-24		1,220.00	1,027.00
20-Sep-24	Not Rated		982.00

For explanation of ratings refer to the stock rating keys located after chart(s)

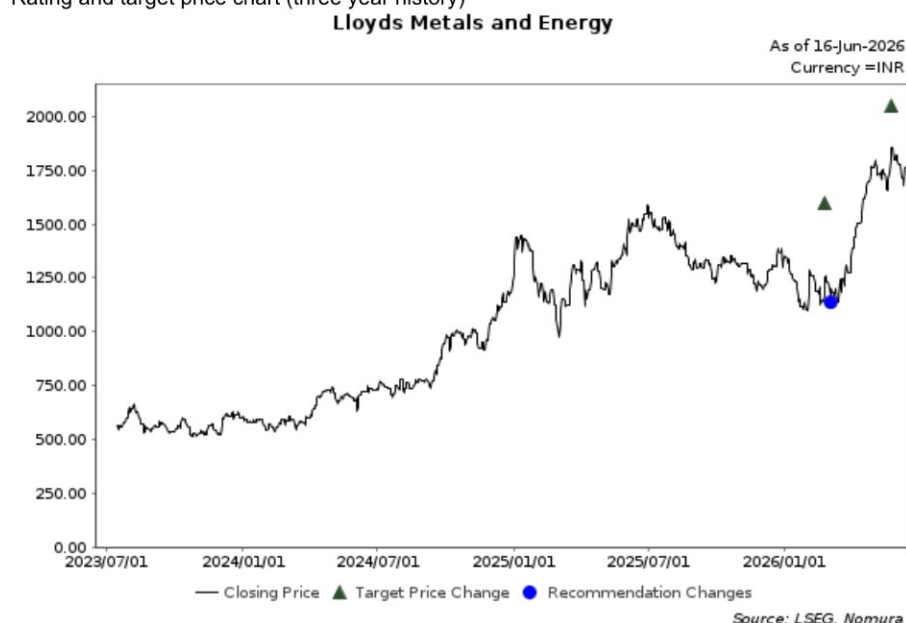
Valuation Methodology We arrive at TP of INR1,400 by applying slightly higher than mid-cycle one-year forward EV/EBITDA of 8.1x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in Dolvi commissioning - This would result in lower than expected volume from FY28F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependence on exports. In such a case, the margins will be lower than expected

Lloyds Metals and Energy (LLOYDSME IN)

INR 1,765 (16-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
26-May-26		2,050.00	1,854.00
24-Feb-26	Buy		1,164.00
24-Feb-26		1,600.00	1,164.00

For explanation of ratings refer to the stock rating keys located after chart(s)

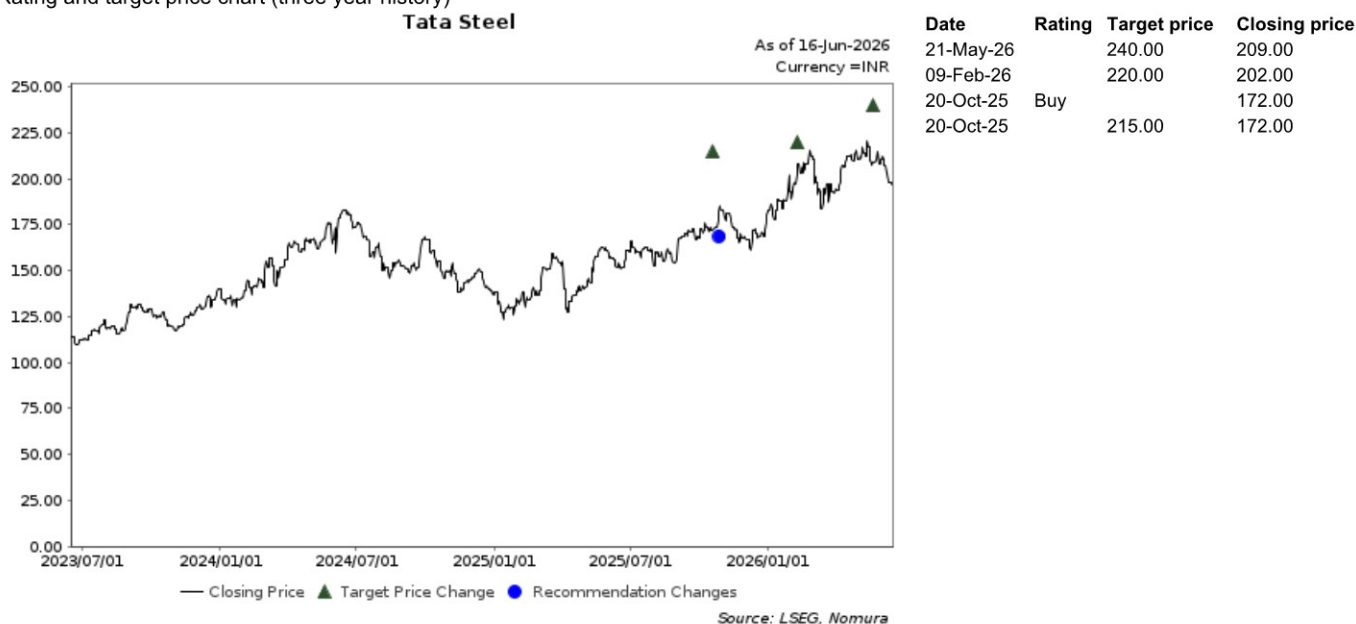
Valuation Methodology We arrive at SOTP-based TP of INR2,050 by applying a target EV/EBITDA of 8.4x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Risks: (1) a delay in steel capacity;; (2) political unrest in the Democratic Republic of the Congo affecting the copper business;; (3) BHQ beneficiation not yielding the same results as seen in the pilot project;; and (4) resurfacing of Naxal activities.

Tata Steel (TATA IN)

INR 196 (16-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We arrive at TP of INR240 by applying slightly higher than mid-cycle one-year forward EV/EBITDA multiple of 7.7x on new steady-state EBITDA in June'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Delays in subsidiary's expansion, weaker-than-expected demand growth, lower spreads, increased regulatory scrutiny on European operations and sustained elevation in iron ore prices beyond FY30F.

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